relative to India. Emerging market economies (EMEs) in North Africa and Central Asia are also becoming attractive alternative investment locations for MNCs.

In this competitive ecosystem, therefore, relative differentials in trade costs across EMEs matter. Any impediment to the movement of parts and components across borders, including policy measures such as high tariffs and non-tariff barriers, is viewed with a comparative lens. India's import tariffs in the manufacturing sector are higher than those in the comparator EMEs. ASEAN, for example, is a virtually tariff-free region. India, in contrast, has seen a progressive increase in the average import tariffs in the manufacturing sector over the past few years. In a trade-dynamic sector like electrical machinery, Vietnam allows almost 90 per cent of imports of parts and components in the duty-free category as against only 28 per cent by India. Therefore, among the foremost policy measures that India needs to undertake to attract relocating investments from MNCs is to have a more open trade policy regime.

While the 2024 Union Budget announced a reduction of some import duties, it is important that this momentum be maintained and the promised review of tariff rates leads to an overall reduction of the average applied tariffs, especially on imports of manufacturing sector inputs in India. The objective should be to ultimately align India's manufacturing sector tariffs with those of the comparator set of EMEs. A time schedule for achieving this goal should be laid out in the upcoming 2025 budget. This will lend an element of predictability to India's trade policy, which will further help attract export-oriented foreign direct investment (FDI).

Another important factor that has created a conducive and liberal trade environment in the case of Vietnam, for example, has been its membership of several high-standard free trade agreements (FTAs). The inclusion of higher standards on investment liberalisation, intellectual property rights and trade-related environment and labour issues have been positive signs of Vietnam's commitment to undertake necessary reforms to align domestic regulatory frameworks with global standards.

While India has negotiated FTAs with some diplomatic dexterity in the past couple of years, these have not been deep, high-standard trade agreements. Globally, however, the challenges of populism, ensuring supply chain resilience, climate change and energy transition are increasingly emerging as the defining parameters of new-age FTAs. Production processes are undergoing transformation to respond to an increasingly discerning consumer's demand for environment-friendly goods and sustainable living. India's persistence with its long-standing stance of classifying these new-age trade issues as 'non-trade' is therefore outdated. To successfully negotiate 21st-century FTAs, India needs to do some serious rethinking of its trade negotiating strategy.

INDIA MUST JOIN MEGA-REGIONAL TRADE PACTS LIKE RCEP AND CPTPP, WHICH **REMAIN OPEN, NON-DISCRIMINATORY** AND ALIGNED WITH THE MULTILATERAL RULES-BASED TRADE ORDER

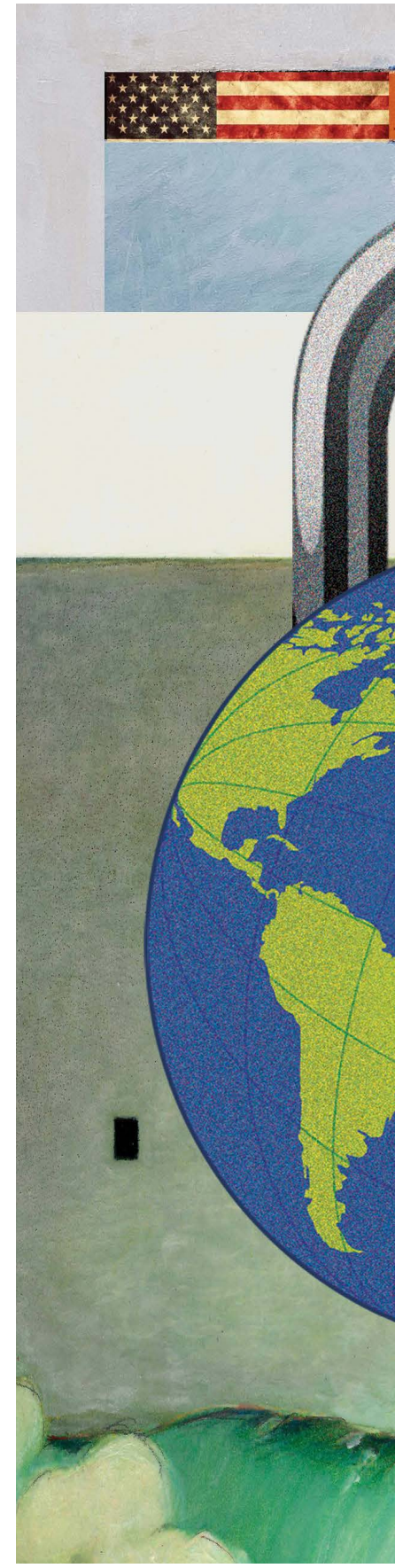


Illustration by **NILANJAN DAS**